

IMC Unit 1 — Chapter 1 Notes

Financial Markets and Institutions

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1 Introduction to Financial Markets (1.1)

1.1 The Financial Services Industry

The financial services industry provides **four main functions** in an economy:

1. Financial intermediation
2. Pooling and managing risk
3. Payments and settlement services
4. Portfolio management

1.1.1 *Financial Intermediation*

A financial system provides channels for funds to move from **savers** to **borrowers**. Intermediaries reduce information and transaction costs by:

- Providing services/products that allow savers to become investors;
- Ensuring adequate provision of information; and
- Allowing borrowers to access a range of savers on varying terms.

Capital flows diagram (Figure 1.1): Savers can supply funds:

- **Directly** – by holding debt/equity securities issued by borrowers (dotted lines); or
- **Via an intermediary** – such as a bank or investment institution (unbroken lines).

Flow structure: *Savers* → Banks / Other investment institutions / Insurance companies / Pension funds → Debt markets / Equity markets → Borrowers. Most capital-raising and capital-saving involves intermediaries; direct financing through capital markets is sometimes appropriate but less common.

Banks and building societies are a traditional key source of finance and also increasingly use securities markets to raise capital or invest. Insurance companies, pension funds, OEICs and unit trusts also perform intermediation by purchasing the securitised assets of banks.

1.1.2 *Pooling and Managing Risk*

- Pooled investment products allow multiple savers to diversify more than they could individually, reducing risk exposure.
- Insurance transfers risk to an insurer in return for a premium.
- Derivatives (options, futures) allow investors to manage risk exposures.

1.1.3 *Payments and Settlement Services*

- Banks are the main providers of payment systems (money exchanged, debts settled).
- **Clearing houses** provide settlement services, ensuring buyers and sellers complete transactions.

1.1.4 *Portfolio Management*

The financial system allows investors to manage wealth via access to markets, specialist advice, and investment management services – the two main services being **investment advice** and **investment management**.

1.1.5 ESG in Investing

- ESG (Environmental, Social, Governance) incorporation has grown rapidly to mitigate risks and preserve long-term value.
- The **Environmental** factor has the most prominence – net-zero commitments by 2050 create regulatory/carbon-tax risk and risk of *stranded assets* (assets that unexpectedly fall in value due to regulation/societal change).
- **Social & Governance** factors relate to workforce relationships and corporate governance structures.

1.2 The Main Financial Institutions

- **Central bank:** sets the monetary framework (short-term interest rates to meet inflation target); acts as *lender of last resort* to the banking sector during crises. (See Ch.9, Section 9.3.)
- **Deposit institutions:** accept deposits from economic agents, becoming liabilities; lend funds as direct loans/investments (e.g. commercial banks). **Universal banks** combine deposit/lending facilities with investment bank services. **Investment banks** act as brokers, underwriters and advisers. **Savings institutions** also accept deposits/make loans but operate under different rules to banks.
- **Investment institutions:** invest funds raised in tradable securities (bonds, equities).
 - Investment institutions include insurance companies that protect against unwanted events (death, illness, retirement = *life*; loss/damage to property/vehicles = *general*).
 - Life insurers hold long-term assets (long-period cover); general insurers hold shorter-term assets (greater need for immediate cash).
 - **Pension funds** are now significant institutional investors, especially given falling State pension provision and ageing populations.
- Institutions operate globally: a company may list on a stock market in another country, and companies can also raise capital across borders by issuing bonds in another country (see Section 1.7). Removal of capital controls and globalisation have driven global capital flows.

1.3 The Role of Government

Governments perform **four functions**:

1. Providing services private firms are unwilling/not allowed to provide – addressing “market failure” (defence, law and order, infrastructure); may involve grants/subsidies (e.g. green activities) or penalising externalities (e.g. carbon taxes).
2. Regulating firms and markets, principally to protect the consumer – promoting competition, preventing fraud, restricting market entry. Main UK regulators: **FCA, PRA, FPC**.
3. Intervening in the distribution of income from private market transactions (e.g. minimum wage), redistribution via transfer payments/state benefits, and taxation.
4. Stabilising the economy – reducing fluctuations in income/employment and controlling the price level, typically via interest rates (in the UK, the Bank of England’s **Monetary Policy Committee (MPC)**).

Main regulatory bodies and their remits are covered in Chapter 3.

Key takeaway (1.1): Four functions of financial services = intermediation, risk pooling, payments/settlement, portfolio management. Four government functions = provide market-failure services, regulate, redistribute income, stabilise the economy.

2 The Role of Securities Markets in Liquidity and Price Transparency (1.2)

2.1 Real Assets vs Financial Securities

- **Real assets** are physical assets such as land, buildings and gold.
- **Financial assets** are claims to a return (e.g. bank deposit, bond) or to ownership of physical assets (e.g. a share).

Two categories of financial asset:

1. **Debt claims** – loans from lenders to borrowers; interest paid until repaid. A bank deposit is a claim on the bank but is *not tradable*. Most debt claims (e.g. bonds) *are* tradable – a tradable claim is a **security**. Bonds pay a generally fixed rate of interest, so are often referred to as “fixed-income securities.”
2. **Equity securities** – shares; tradable; ownership stake; company has no obligation to repay capital or pay dividends, but investors expect returns via capital gains and/or dividends.

2.2 Indirect Investment through Intermediaries

Advantages of indirect investment (via pension funds, insurers, pooled vehicles):

- Greater diversification
- Reduced transaction costs (intermediary trades at lower cost)
- Access to specialist expertise
- Ability to access assets unavailable to individual investors (e.g. commercial property)

Unit trust – three parties:

1. **The manager** – operates the trust and invests cash contributions from investors.
2. **The trustee** – unconnected with the manager; holds custody of investments on behalf of unit holders.
3. **The unit holders** – the trust beneficiaries.

Unit trusts are **open-ended**: units are issued/redeemed based on investor demand, so the fund grows/shrinks accordingly. (Covered further in Ch.16.)

Derivatives: financial contracts “derived” from an underlying asset, whose price movements are highly correlated with the underlying. Uses:

- Speculation (gains from anticipated price moves)
- Access to assets that are costly/difficult to buy directly (e.g. oil)

(Covered in Ch.13, Section 13.1.)

FX transactions: e.g. a UK fund manager converting GBP to USD to buy US securities. Large transactions – direct with a dealer (bid/offer quotes); smaller transactions – via a broker. (Ch.9, Section 9.4.)

2.3 Functions of Securities Markets

1. **Raising capital** (capital markets) – issuing equities or bonds; funds used for machinery/resources; liquidity mobilises savings into productive investment.

2. **Transferring risk** (derivatives markets) – e.g. hedging equity portfolio risk with index futures; risk moves to the counterparty (a trader expecting the index to rise).
3. **Price discovery** – orders from buyers/sellers create an equilibrium price; in an efficient market, the price changes only with new information.
4. **Creating liquidity** – ability to sell investments without significant price impact and minimum value loss; more buyers/sellers means more liquid.

2.3.1 *Primary vs Secondary Markets*

- **Primary market:** securities initially sold to investors (e.g. an IPO – first issue to the market).
- **Secondary market:** subsequent trading; provides liquidity, which can increase the price at first issue.
- **Sell-side firms** (investment banks, brokers, dealers): provide transaction services/products.
- **Buy-side firms** (investment managers): purchase these services/products.
- Classification blurred for large integrated firms (investment banks may have buy-side asset management divisions).

2.4 Price Transparency and Liquidity

Two types of price dissemination:

1. **Pre-trade transparent:** publishes real-time data about quotes and orders.
2. **Post-trade transparent:** publishes trade prices/sizes shortly after trades occur.
 - Buy-side traders value transparency (better trading/cost management).
 - Sell-side traders (informational advantage as frequent traders) may prefer opaque markets.
 - Organised markets (e.g. LSE) tend to be more transparent than OTC markets (e.g. CDS market).
 - MiFID II requires pre-/post-trade transparency for many EU securities (especially equities).

Liquidity:

- Assessed via **bid-ask spreads** (bid-offer spread) – difference between immediate-sale (bid) and immediate-purchase (ask/offer) prices.
- Wider spreads in opaque markets (harder to find best price).
- Market makers quote to sell (ask) and buy (bid) at given prices.
- In order-driven markets, liquidity judged by the gap between best buy/sell prices in the order book.
- **Market depth:** size of order needed to move the market by a given amount – a deep market has sufficient pending volume on both sides to absorb large orders without moving price significantly. Example: US Treasuries market is deeply liquid (high volume, low spreads, high depth).
- Illiquid assets: uncertainty about future value / lack of depth (e.g. some AIM shares). During market uncertainty, securities can become difficult to sell as traders share pessimistic expectations.
- **Liquidity risk** – the risk of not being able to sell quickly, with potential loss of value; generally priced into the security. Higher in low-volume and emerging markets.

Operational vs Informational Efficiency: Operational efficiency = low transaction costs, small spreads, ability to absorb large orders. Informational efficiency = prices reflect fundamental information (enhanced by price transparency), leading to allocative efficiency (funds directed to most productive uses).

2.5 Transaction Costs

Implicit costs:

- **Bid-ask spread** – set by the dealer to cover costs and profit; smaller/riskier/less liquid stocks carry a larger spread.
- **Price impact of a trade** – large trades relative to average volume create a demand/supply imbalance, resolved by a price change; deviation of the transaction price from the "unperturbed" price (often the volume-weighted average price around the trade). Can also reflect the "information" content of a large trade.
- **Opportunity cost** – the "cost of waiting"; e.g. spreading a buy trade over several days while price rises, so some identified value is never captured.

Explicit costs (UK equities, LSE):

- **Commission:** 10–20 bps for large institutional trades; 100–150 bps for smaller trades; can be zero for very large institutional clients. No VAT on commissions.
- **Stamp Duty Reserve Tax (SDRT):** 0.5%, payable by the *purchaser only* on all transactions. Rounded up to nearest 1p (CREST-settled) or nearest £5 (otherwise).
- **PTM levy:** £1.50 on all purchases/sales in excess of £10,000, financing the Takeover Panel.
- **Market makers** are exempt from paying SDRT and the PTM levy.

Gilts: Commission 0.5%–1% of value for purchases below £5,000; no commission above £1 million; settled T+1; *exempt from SDRT*. Other SDRT-exempt securities: loan stocks, foreign securities registered outside UK, bearer securities, ICE Futures Europe traded options.

Pooled investments (unit trusts, OEICs) – two transaction costs:

1. **An entry cost** (a "front load")
2. **An ongoing charges figure (OCF)** (the "expense ratio")

OCF is generally the largest component over time. FCA Asset Management Market Study (Nov 2016): average OCF for **passive** funds $\approx 0.15\%$; for **active** funds $\approx 0.9\%$.

Direct property investment costs: stamp duty, legal costs, ongoing maintenance costs. (Stamp duty details – Ch.6, Section 6.1.)

Worked Example – Bid-Ask Spread

Bid = £9.95, offer = £10.00 $\Rightarrow$ spread = £0.05.

As % of ask: $(0.05/10) \times 100 = 0.50\%$.

Buying at £10 and immediately selling at £9.95 = 0.50% loss of transaction value.

On 100 shares: £5 loss. On 10,000 shares: £500 loss (percentage loss identical either way).

Worked Example – Total Round-Trip Transaction Costs (Cost of buying & selling immediately)

Retail investor buys/sells 5,000 shares of XYZ PLC; quotes 213.75p–213.85p; commission £5/trade.

Element	Cost
Buy 5,000 shares at 213.85p	£10,692.50
Sell 5,000 shares at 213.75p	(£10,687.50)
Commission (two trades)	£10.00
SDRT (0.5% of purchases only)	£53.46
PTM levy (two trades)	£3.00
Net cost (absolute)	£71.46
Net cost (percentage)	0.67%

Note: SDRT applies only on purchases.

Traders reduce transaction/opportunity costs using algorithms, hidden orders, or dark-pool trading.

3 Types of Financial Markets (1.3)

3.1 Trading Venues under MiFID

Three original order-execution venues under MiFID (2007):

1. Regulated markets
2. Multilateral trading facilities (MTFs)
3. Systematic internalisers

A fourth venue – **organised trading facility (OTF)** – was introduced with **MiFID II**.

Trading fragmentation: LSE main-market share declined to $\approx 55\%$ by late 2015, rising marginally to $\approx 60\%$ by 2024.

3.2 UK Equity Market – LSE Trading Systems

3.2.1 SETS

- Electronic **limit order book** for FTSE 100, FTSE 250, FTSE Small Cap constituents, most-traded AIM/Irish securities, ETFs and ETPs.
- **Market makers provide electronically executable quotes**; must quote firm bid/offer prices up to the **exchange market size (EMS)** – the “normal market size.”
- **Auctions at opening (7:50am) and closing (4:30pm)** to establish opening/closing prices.
- **“Call period”**: matching bids/offers in a limited timeframe (10 min at open, 5 min at close). A matching algorithm finds the price maximising executable share volume (not highest/lowest price).
- End of call period is called an **“uncrossing”** event.
- **Unscheduled auctions** trigger when price crosses a percentage threshold since the previous uncrossing trade (e.g. from major intraday news via the RNS feed).

3.2.2 SETSsx and SEAQ

- **SETSsx**: for less-liquid main-market stocks; combines a **periodic electronic auction book** (“**call market**”) with non-electronic quote-driven market making. Uncrossings at 8am, 9am, 11am, 2pm and closing. Low-liquidity stocks lead to wider bid-ask spreads to cover market-maker risk.
- **SEAQ**: a **quote-display system** – reference point for telephone execution between market makers; used for fixed-interest and AIM securities not traded on SETS/SETSsx.

3.2.3 Clearing

LCH is the **central counterparty (CCP)** to all SETS and SETSsx trades at the point of execution – ensures clearing members are not exposed to counterparty default risk; LCH manages this risk by collecting margin from members.

3.2.4 International Trading

- **International Order Book** – electronic order book for trading international securities as depository receipts.
- **European Quoting Service (EQS)** – quote-driven market-making/trade-reporting platform for all EU liquid securities (excluding SETS/SETSsx names); non-electronic mandatory quotes.

- **European Reporting Service:** enables clients to meet MiFID post-trade reporting obligations for on-/off-exchange trades:
 - On-exchange, off-book trade publication (all trades regulated under exchange rules); or
 - OTC trade publication (unregulated trades executed away from the exchange).

3.2.5 Settlement

- Current standard LSE equity settlement is **T+2**, settled through **CREST**. The US moved to T+1 in May 2024; the UK intends to move to T+1 in October 2027.
- Gilt settlement also occurs via CREST – involving GEMMs and large banks – with a settlement period of T+1.

Settlement process: pre-settlement positioning (buyer has funds, seller has securities) then transfer of ownership and monies (initiated once cleared by the CCP). Activities provided directly via CSDs (central securities depositories).

3.3 UK Gilt and Corporate Bond Market

3.3.1 Gilts

- UK Government bonds ("gilt-edged securities") – direct obligation of the UK Government; carry various names (Treasury, Exchequer).
- Gilts usually pay gross coupons semi-annually; used to finance the shortfall between government expenditure and revenue.
- Managed by the **Debt Management Office (DMO)**, an agency of the Treasury.
- DMO typically issues gilts via auction (as in the USA); gilt settlement is via CREST.
- Main holders: UK pension funds, UK insurance companies, overseas investors, UK banks and building societies.
- **GEMMs** (gilt-edged market makers) – required by the DMO to make continuous, effective two-way prices at which they stand committed to deal; must participate in primary issuance, provide the DMO with market data, and provide real-time prices/mid-market indications via a wire service or trading platform.
- In return, GEMMs are eligible to submit competitive bids at gilt auctions directly to the DMO (the DMO transacts almost exclusively with GEMMs in its market operations). Additional privileges: right to strip and reconstitute gilts through CREST.

3.3.2 Corporate Bonds

- Sold as an **open offer for sale** or directly to a small number of professional investors ("private placing").
- Open offer: syndicate of banks, one as lead manager; sale underwritten by the banks (charge for this service).
 - **"Bought deal"**: lead bank buys all bonds and resells to the syndicate.
 - **"Fixed-price re-offering"**: lead manager and syndicate buy the bonds together and offer them at a fixed price for a period.
- Corporate bonds mainly trade in decentralised, dealer-based, OTC markets; liquidity provided by dealers/participants committing risk capital; counterparty is almost always a bank or securities firm acting as dealer.

- The LSE operates the electronic **Order Book for Retail Bonds (ORB)** – order-driven service offering retail investors access to selected government/UK corporate bonds. (Oct 2024: 72 UK Gov bonds, 36 corporate bonds available; similar model to SETS with continuous two-way pricing from market makers.)

3.4 Dual Listing

- A **dual-listed company (DLC)** is a corporate structure in which two corporations function as a single operating business through a legal **equalisation agreement**, but retain separate legal identities and stock exchange listings.
- Virtually all DLCs are cross-border, with tax advantages; equalisation agreements ensure equal treatment of both companies' shareholders (voting, cash-flow rights).
- Usually share a single board of directors and integrated management.
- Examples: Carnival Corporation & plc (USA/UK); Investec (South Africa/UK).
- Advantage: no capital gains tax consequence, unlike an outright merger.
- DLC parent shares represent claims on the same underlying cash flows, so in efficient markets prices should be identical, but large discrepancies can occur in practice (e.g. Royal Dutch Shell NV traded at $\approx 30\%$ discount to Shell Transport and Trading plc in the early 1980s). Convergence-based arbitrage may require a very long investment horizon.

3.5 Exchange-Traded, OTC and Alternative Trading Venues

3.5.1 *Exchange-Traded vs OTC*

- **Exchange trading:** exchange sets institutional rules governing trading/information flows, linked to clearing facilities. Level playing field – any participant can buy as low/sell as high as any other, following exchange rules. Electronic trading has largely eliminated the need for a physical trading floor.
- **OTC market:** decentralised trading (telephone, fax, electronic network) rather than a physical/centralised venue. Involves dealers holding inventories to satisfy buy/sell orders. An "off-book" or "upstairs" trade – large, negotiated bilaterally, does not move the exchange price (no price impact).

3.5.2 *Multilateral Trading Facilities (MTFs)*

- Trading platforms organised by investment firms or market operators, bringing together third-party buyers and sellers (often banks and large institutional investors).
- The distinction between a regulated market and an MTF is rather blurred, as both follow similar regulatory standards on transparency and rulebooks.
- Since MiFID (2007), many MTFs have been established to compete with exchanges like the LSE. BATS and Chi-X Europe merged to form **BATS Chi-X Europe** (now **CBOE Europe**), which became a recognised investment exchange in 2013. MTFs can also be owned by conventional exchanges (e.g. Turquoise, owned by the LSE).

3.5.3 *Systematic Internalisers*

- An investment firm which deals on its own account, executing customer order flows in liquid shares outside a regulated market or MTF.
- MiFID requires such a firm to publish and honour buy/sell prices up to standard market size – they cannot improve their price when dealing in retail size or with retail clients.

3.5.4 Organised Trading Facilities (OTFs)

- A multilateral system which is not a regulated market or MTF, where multiple third-party buying/selling interests in bonds, structured finance products, emissions allowances, or derivatives interact resulting in a contract.
- New category introduced under **MiFID II**, designed to capture trading in bonds/certain derivatives not traded on organised markets/MTFs.
- Trading on regulated markets/MTFs is rule-governed; OTF trading is **discretionary**.

3.5.5 Dark Pools

- Electronic crossing networks providing liquidity not displayed on a conventional order book – neither price nor trader identity is displayed. Useful for trading large volumes without revealing intent.
- Dark pools are typically MTFs that have opted out of pre-trade transparency requirements. They are an alternative to off-market trades – they trade in a market (not bilaterally), potentially achieving a better price than off-market trades, while avoiding the price impact of on-market large orders.
- FCA guidance (effective Oct 2023) clarifies what constitutes a "multilateral system" and a "trading venue" (covers regulated markets, MTFs, OTFs). A multilateral system has four elements:
 - (i) Characteristics of a trading system/facility
 - (ii) Multiple third-party buying/selling trading interests
 - (iii) Allows trading interests to interact in the system
 - (iv) Trading interests are in financial instruments
- Whether a system is multilateral vs bilateral turns on whether, at the point of entry, one person can potentially interact with multiple others; execution need not occur within the system for interests to "interact."

3.6 Quote-Driven vs Order-Driven Markets

- **SEAQ** is quote-display (the order-driven system is **SETS**).
- **Order-driven systems**: used for highly liquid securities. Orders from all customers are input to an electronic order book. Two order types:
 - **Market order**: specifies quantity but not price; matched with the best order in the book.
 - **Limit order**: buyer/seller states both quantity and acceptable price.
- Matching priority: first by price, then by time entered (first-in-first-out).

Worked Example – Order Book (XYZ shares)

Buy		Sell	
Volume	Price	Volume	Price
5,000	303	12,100	304
10,880	303	650	305
4,666	303	18,221	305
10,000	302	4,326	306
860	301	14,100	307
5,000	301	1,500	307

Highest buy price (303p) is below the lowest sell price (304p) – unmatched orders remain on the book. A market order to buy 10,000 shares "at best" would match the top-of-book sell order at 304p.

- **Quote-driven systems:** require market makers to maintain liquidity/efficiency; market makers must indicate firm prices up to a required volume (normal market size, set by exchanges); may give indicative prices above this. Market makers input prices to a central system (e.g. SEAQ); broker-dealers identify the most favourable price and call that market maker to strike a deal.

3.7 High-Frequency and Algorithmic Trading

- **Algorithmic trading:** use of electronic platforms where an algorithm decides order aspects (timing, price, volume), often without human intervention. Used by buy-side institutions (pension/mutual funds) to split large trades and manage impact/risk; sell-side (market makers, hedge funds) to generate/execute orders automatically, providing liquidity.
- **Under MiFID II**, algorithmic traders must:
 - Enter a binding written agreement with the trading venue to make markets for a specified period (improves liquidity availability, especially in volatile periods).
 - Have effective, resilient, sufficiently capacious systems and risk controls (thresholds/limits preventing erroneous orders).
 - Have effective business continuity arrangements; systems tested and monitored.

Trading venues must have systems to prevent disorderly trading from algorithmic activity (limit unexecuted-order ratios, slow order flow, regulate minimum tick sizes) and provide facilities to test algorithms and identify algorithmically generated orders/persons initiating them.

- **High-frequency trading (HFT):** a subset of algorithmic trading; computers make decisions based on information processed faster than human traders. Characterised by very short holding periods (seconds/milliseconds) and large volumes; has changed market microstructure, particularly how liquidity is provided.

Four key HFT strategies:

1. Market-making based on order flow
2. Market-making based on tick data information
3. Event arbitrage
4. Statistical arbitrage

Under MiFID II, HFT firms must store time-sequenced records of algorithmic trading systems/algorithms for at least 5 years. ESMA proposes that records include sufficient detail to enable monitoring by the competent authority, including details of the person in charge of each algorithm, a description of decision/execution logic, and key compliance/risk controls, available to the competent authority on request.

3.7.1 Case Studies

- **2010 Flash Crash** (6 May 2010, 2:42pm): US stock market fell ≈ 600 points in 5 minutes, then regained most of the loss within 20 minutes. SEC/CFTC investigation: a large mutual-fund complex initiated an unusually large sell program (75,000 E-Mini S&P 500 contracts, $\approx$ US\$4.1bn) as a hedge, with the algorithm targeting an execution rate of 9% of trailing-minute volume "without regard to price or time." HFT firms buying these contracts then rapidly resold them to each other (a "hot potato" effect), amplifying the decline. This version of events has since been challenged by the relevant exchange and academic papers, though HFT is still considered likely to have played a prominent role.
- **Knight Capital Group (August 2012)**: faulty trading software installation caused numerous erroneous orders into NYSE-listed securities; resulted in a realised pre-tax loss of $\approx$ US\$440 million.

4 The UK Listing Authority and Prospectus Requirements (1.4)

4.1 The UK Listing Authority

- Public companies (seeking finance from the investing public) vs private companies (generally forbidden to raise capital this way).
- In the UK, the **FCA** is the "competent authority" (the UK listing authority), deciding on admission of securities to the **Official List**. Rules = "listing rules"; power derives from **FSMA 2000** (as amended).
- Listing rules also implemented the EU Prospectus Regulation and Transparency Directive (retained as UK law post-Brexit). A new UK prospectus regime is being implemented in early 2026 (replacing the current UK Prospectus Regulation, alongside the Public Offers and Admissions to Trading Regulations 2024) – shifting focus from a prescriptive to a more flexible approach.
- **FCA changes to the UK listing regime, July 2024** replaced the previous two listing categories:
 1. **Premium listing** – typically used by large firms seeking an increased profile and a highly liquid market.
 2. **Standard listing** – for firms meeting lighter requirements laid down by listing regulations.
- New regime: one category for commercial companies – **equity shares (commercial companies)** or **ESCC**. Specialist categories continue (e.g. closed-ended investment funds/investment trusts). Aim: simpler, less burdensome regime to boost IPOs/capital raising.
- IPO eligibility relaxed: removal of the three-year historical financial information requirement and a "clean"/unqualified working capital statement.
- A listed company admits to trading on the **main market (Official List)** of the LSE, or alternatively the **Aquis Stock Exchange (AQSE) Main Market**. ESCC and closed-ended fund category companies are potentially eligible for the **FTSE UK Index Series** – important given tracker funds' FTSE-indexation-driven flows.

4.2 Listing Rules and Prospectus Requirements

4.2.1 Conditions for Listing (ESCC)

- Company must normally have published accounts covering at least three years.
- Expected aggregate market value of listed securities must be:
 - At least £30 million for shares; or
 - At least £200,000 for debt securities.
- Overall, 10% of listed securities must be held by the public by the date of admission.
- A sponsor is required in connection with the admission for listing.

4.2.2 Prospectus / Listing Particulars

- No securities may be admitted unless the listing authority has approved either listing particulars or a prospectus, and these must be published.
- A prospectus is required when an application for listing is made *and* securities are offered to the public before admission. Where not offered to the public, listing particulars still need approval/publication.

- UK prospectus regulations also require a prospectus where:
 - i. Securities are admitted to trading on a UK regulated market or admitted to listing in the UK; or
 - ii. A firm is making a public offer in the UK.

(Wider than the normal concept of listing – includes securities on "second markets" and other trading facilities.)

- A prospectus should generally disclose:
 - All information an investor would reasonably require regarding assets/liabilities, financial position, profits/losses;
 - Prospects of the issuer; and
 - Rights attached to the securities.

4.2.3 Listing on AIM

(Alternative Investment Market – "junior stock market of the LSE")

- AIM does not stipulate minimum criteria for company size, trading record, or public shareholding.
- Companies need a **nominated adviser** ("nomad"), from an approved register, responsible to the LSE for ensuring admission suitability.
- Companies must produce an admission document (directors, promoters, business activities, financial position) and disclose ongoing financial performance (scheduled interim/full-year results, and ongoing disclosures affecting performance).
- AIM is not part of the Official List but is classified as an MTF.

4.2.4 High Growth Segment (HGS) – Now Redundant

The former HGS segment of the LSE main market (targeting medium/high-growth companies not meeting old premium listing requirements) became redundant with the new single ESCC category and has ended.

4.2.5 Listing on Aquis Exchange (AQSE)

- Alternative route to the Official List – the **AQSE Main Market**; eligibility is the same as for the Official List.
- AQSE also operates the **AQSE Growth Market** for unlisted securities – **classified as an MTF** – divided into **Apex** (larger, more established companies – *smaller than AIM companies*) and **Access** (companies at an earlier development stage).

4.2.6 Exemptions from Listing Particulars

Exemptions from the obligation to produce a prospectus include:

1. Offer made to **qualified investors** (professional clients or eligible counterparties). Retail clients electing to become professional must meet *at least two* of:
 - (a) Carried out transactions of significant size (over €1,000) at an average frequency of at least ten per quarter over the last four quarters;
 - (b) Security portfolio exceeding €500,000; and/or

- (c) Worked (or have worked) for at least a year in the financial sector in a professional position requiring knowledge of security investment.
- 2. Offer made to fewer than 150 persons (other than qualified investors) in the UK.
- 3. Minimum consideration per investor, or minimum denomination per unit, is greater than €100,000.
- 4. Where shares representing less than 20% of the same class are already admitted for trading on the same regulated market (planned to increase to 75% when the new UK prospectus regulation is implemented in early 2026). *Note:* this final point relates only to admission to trading, not a public offer – a rights issue to the public, at any level, requires a prospectus.

5 Information Disclosure and Corporate Governance for UK Equity Markets (1.5)

5.1 Disclosure of Directors' Interests in Shares

- **UK Market Abuse Regulation (UK MAR)** sets out reporting of transactions in a company's securities (including derivatives) by **persons discharging managerial responsibilities (PDMRs)**, including directors.
- **PDMRs and connected persons must notify the listed company and the FCA within three working days of a transaction** (both sale and purchase).
- **The listed company must notify the market within two working days** of receiving the notification, via a primary information provider. Aim: help prevent insider dealing.

5.2 Disclosure of Major Interests in Shares (DTRs)

- Applies to substantial individual interests in shares carrying unrestricted voting rights – ensures directors/shareholders/employees can ascertain who is acquiring control (e.g. via nominees).
- **An investor must notify a company within two business days when acquiring 3% or more of that company's shares; further disclosures are required at increments of more than 1% above the initial 3%.**
- **Concert parties:** groups acting in agreement to acquire interests, where each individually stays under 3% but combines to gain control. **Under the Companies Acts, each individual's interest must include the interests of other concert-party members; if the total exceeds 3%, disclosure is required,** and each person must notify that they are party to the agreement with details.
- An individual is also subject to disclosure where they are deemed to control the exercise of rights conferred by shares even if not the registered holder (prevents concealment).
- A public company must keep a register of interests disclosed and may require a person known to have held an interest in the previous 3 years to indicate current/past holdings.

5.3 Persons with Significant Control (PSC)

- PSC register must be kept by most UK companies and LLPs, identifying ultimate beneficial owners/controllers.
- Aim: combat tax evasion, money laundering, terrorist financing.
- Applies to all UK companies except those already subject to DTR 5's extensive disclosure requirements.

5.4 UK Corporate Governance Regulations

- Corporate governance = how companies are directed/controlled by boards and officers – balancing interests of shareholders, management, customers, suppliers, financiers, governments, community.
- Originated from separation of ownership and control following the formation of joint stock companies – owners required assurances that directors/managers were safeguarding investments and accurately reporting financial outcomes.
- UK system traditionally stresses **internal controls** and financial reporting/accountability, rather than external legislation.

- **Financial Reporting Council (FRC):** currently responsible for corporate governance standards (UK Corporate Governance Code, Stewardship Code), UK financial reporting standards, and auditing/actuarial standards. The FRC's work came under scrutiny in 2018 after the collapse of Carillion; an independent review recommended replacement with a stronger regulatory body. The new Labour Government (2024) indicated plans to bring forward a bill to strengthen audit and corporate governance regulation.

5.4.1 The UK Corporate Governance Code

Published June 2010; updated 2012, 2014, 2016, 2018, 2024 (2024 Code effective January 2025, minor changes to the 2018 Code).

Main principles (summary):

Section 1 – Board Leadership and Company Purpose

- A. Effective, entrepreneurial board promoting long-term sustainable success, generating shareholder value and contributing to wider society.
- B. Board establishes purpose, values, strategy; ensures alignment with culture.
- C. Board ensures necessary resources; establishes a framework of prudent, effective controls to assess/manage risk.
- D. Board ensures effective engagement with, and encourages participation from, shareholders/stakeholders.
- E. Board ensures workforce policies/practices align with company values; workforce can raise concerns.

Section 2 – Division of Responsibilities

- F. Chair leads the board, responsible for overall effectiveness; facilitates openness/debate and ensures directors receive accurate, timely, clear information.
- G. Board includes an appropriate mix of executive and (particularly independent) non-executive directors; clear division between board leadership and executive leadership.
- H. Non-executive directors: sufficient time; constructive challenge, strategic guidance, specialist advice; hold management to account.
- I. Board (supported by the company secretary) has necessary policies, processes, information, time and resources.

Section 3 – Composition, Succession and Evaluation

- J. Formal, rigorous, transparent appointment procedure; effective succession planning, based on merit/objective criteria, promoting diversity of gender/social/ethnic backgrounds and cognitive/personal strengths.
- K. Board/committees combine skills, experience, knowledge; length of service and regular membership refreshment considered.
- L. Annual evaluation of board composition, diversity, and effective working; individual evaluation of continued effective contribution.

Section 4 – Audit, Risk and Internal Control

- M. Formal, transparent policies ensuring independence/effectiveness of internal/external audit; satisfaction on integrity of financial/narrative statements.
- N. Fair, balanced, understandable assessment of company position and prospects.

- O. Procedures to manage risk, oversee internal control framework, determine principal risks the company is willing to take.

Section 5 – Remuneration

- P. Remuneration policies support strategy/long-term success; executive pay aligned to purpose/values and linked to long-term strategy delivery.
- Q. Formal, transparent procedure for developing/determining remuneration policy; no director decides their own remuneration outcome.
- R. Directors exercise independent judgement/discretion authorising remuneration outcomes.

Application & Nature of the Code:

- Applies to all companies listed as commercial companies or in the closed-ended fund category, whether UK-based or not.
- Consists of principles (main and supporting) and provisions – *not* a rigid rule set.
- Listing rules require companies to apply the main principles and report on how.
- Operates on a “**comply or explain**” approach.

5.5 Shareholder Rights Directive (SRD II)

- Implemented in the UK in 2019, then onshored post-Brexit.
- Aims to tackle a perceived lack of shareholder engagement by requiring asset managers and institutional investors to put in place a **shareholder engagement policy** and improve transparency of investment policies.
- For **occupational pension schemes**, SRD II requires trustees to publish online: development/implementation of shareholder engagement policy; details of investment strategy and arrangement with asset manager – disclosed via a **Statement of Investment Principles (SIP)**.
- From 1 October 2020: trustees also required to produce an **implementation statement** setting out how they acted on SIP policies.
- **Climate reporting obligations** introduced 2021 under the **Pension Schemes Act 2021** – apply to all pension schemes with assets under management >£1 billion. Trustees must implement governance arrangements to manage climate-related risks.
- **Climate Change Governance Regulations** updated October 2022 – require trustees to calculate a new “portfolio alignment” metric: extent to which scheme investments align with the Paris Agreement goal (limiting warming well below 2°C, pursuing 1.5°C above pre-industrial levels).

5.6 Board Diversity

- Diversity/inclusion considerations increasingly prominent in the FRC’s Corporate Governance and Stewardship Codes, and among regulators generally.
- Section 3 of the UK Corporate Governance Code highlights promoting diversity of gender, social, and ethnic backgrounds, plus cognitive/personal strengths.
- Diverse boards may mitigate “**groupthink**” – a psychological behaviour of minimising conflict and reaching consensus without critically evaluating alternatives – by approaching problems from a greater range of perspectives, fostering creativity, and providing more comprehensive oversight (including reputational and compliance risk sensitivity).

- **Gender:** Walker review (2011) set a voluntary 25% target for women on FTSE 100 boards – met in 2015. Hampton-Alexander review (2016, updated 2021) set a voluntary 33% target for FTSE 350 boards. A 2025 FTSE Women Leaders Review found $\approx 45\%$ women on FTSE 100 boards and 43.4% on FTSE 350 boards.
- **Ethnicity:** Parker review (2017, updated annually post-2020) set a voluntary target for all FTSE 100 boards to have at least one director from an ethnic minority background by December 2021. By March 2021, 81 FTSE 100 companies had met this target; by 2025, 95 FTSE 100 companies met the target.

5.7 Remuneration Reporting Regulations

- Introduced October 2013 (for large/medium-sized companies and groups); updated June 2019.
- Remuneration report has two parts:
 1. **Policy report** – sets out remuneration policy and key factors considered.
 2. **Implementation report** – actual payments to directors and the link between company performance and pay; published annually.
- Policy report and implementation report must go to shareholder vote at the AGM. Shareholders have a binding vote on the remuneration policy, put to vote at least every three years (or sooner if not approved – a new policy must then be put to the next general meeting; the last approved policy remains in place until a new one is approved).
- June 2019 changes: quoted companies with >250 employees must publish, in the directors' remuneration report, the ratio of CEO "single figure" total remuneration to the median, 25th, and 75th percentile total remuneration of full-time equivalent UK employees (calculated group-wide, UK employees only).

5.8 Section 172 Reporting

- **Section 172(1) Companies Act** requires a director to act in the way they consider, in good faith, would most likely promote the company's success for the benefit of members as a whole – with regard to a non-exhaustive list of matters (e.g. employees' interests, fostering business relationships with suppliers/customers).
- All UK-incorporated companies (other than small/medium-sized) must publish a separately identifiable statement in the strategic report describing how directors had regard to s.172(1) matters – effective for financial years starting on/after 1 January 2019 (i.e. annual reports from 2020 onwards).
- Government guidance suggests including:
 - Issues, factors, stakeholders directors consider relevant and how that opinion was formed;
 - Main methods used to engage stakeholders and understand relevant issues; and
 - Information on the effect of that regard on the company's decisions/strategies during the year.

5.9 UK Stewardship Code

- Also operated by the FRC. Originally released 2012; updated 2020 and again 2025 (2025 version applies from 1 January 2026). Comprises "apply and explain" Principles:
 - **Six Principles** for: (i) asset managers (day-to-day asset management, e.g. BlackRock); (ii) asset owners (institutional investors protecting/enhancing assets for beneficiaries, e.g. occupational pension schemes).

- **Four Principles** for service providers (investment consultants, proxy advisers, data/research providers).
- **Stewardship** = responsible allocation, management, and oversight of capital to create long-term sustainable value for clients and beneficiaries.
- All Signatories submit a **Policy and Context Disclosure** (stewardship policies, governance structures, contextual info; typically updated every 4 years) and an annual **Activities and Outcomes Report** (stewardship activities conducted and their outcomes).

Six Principles for asset managers/asset owners:

1. Integrate stewardship and investment to deliver long-term sustainable value for clients/beneficiaries.
2. Identify and respond to market-wide and systemic risks to promote well-functioning financial markets.
3. Engage to maintain or enhance the value of assets.
4. Actively exercise rights and responsibilities.
5. Integrate stewardship considerations into the selection and oversight of external managers.
6. Monitor and hold to account stewardship service providers.

5.10 Information Dissemination & Continuing Obligations

- Listed companies agree to abide by **continuing obligations**, requiring them to:
 - Submit drafts to the UK listing authority for approval of all meetings and circulars (except routine ones) to holders of securities; and
 - Notify the market of profit announcements, dividend declarations, material acquisitions, director changes, major shareholding changes, and other information needed to appraise the company's position and avoid a false market.
- Announcements may be distributed via an approved third-party firm (issuers using one need not make an annual compliance declaration to the FCA; otherwise the issuer must record compliance and report to the FCA annually/on request). Approved firms include the **Regulatory News Service (RNS)** of the LSE.
- Guidance rules on price-sensitive information dissemination aid compliance with insider dealing regulations (**Criminal Justice Act 1993, Part V**) and the **Market Abuse Regulation**.
- Companies should have a consistent procedure for determining/releasing price-sensitive information regularly. Lengthy releases commenting on trading prospects should give such information due prominence. If price-sensitive information is inadvertently released to analysts/journalists, the company must take immediate steps to give the whole market access. Companies should correct a public forecast if significantly wrong, but have *no obligation* to tell individual analysts their forecast is wrong.

5.11 General Meetings

5.11.1 Annual General Meetings (AGMs)

- Companies Act 2006 governs calling/conduct of general meetings.
- Every public company must hold an AGM within **6 months** of financial year-end; interval between AGMs must not exceed **15 months**.
- Directors call the meeting; requires at least **21 calendar days'** written notice.

- No mandatory business items, but by convention: declaring a dividend; considering financial statements; considering directors'/auditors' reports; electing directors in place of those retiring; appointing/remunerating auditors.

5.11.2 Other (General) Meetings

- Any non-AGM meeting is a "general meeting." Requires at least **14 calendar days'** written notice; can communicate electronically (email, website, telephone). A notice is deemed sent when first transmitted and **delivered 48 hours after being sent**; the notice period runs from the delivery date.
- Directors may call a general meeting whenever they see fit; must call one if $\geq 5\%$ of shareholders (by value) request it (given 12 months since last general meeting). If directors fail to call within 21 calendar days of the request, shareholders may convene it themselves (within 3 months of the request). Directors must also call a meeting on a serious loss of capital.

5.11.3 Chairman's Duties

- Preserve order; ensure proceedings are conducted properly; ascertain the sense of the meeting; decide incidental questions arising during the meeting.

5.11.4 Resolutions and Voting

- Resolutions initially decided by a **show of hands**; a **poll** is a more accurate method (accounts for shareholders with large numbers of shares, who would otherwise have only one vote on a show of hands).
- A poll can be demanded by 5 members entitled to vote, by one or more members with 10% of total voting rights, or by the chairman. A proxy may demand or join in demanding a poll.
- **Ordinary resolution**: standard type, requires a simple majority.
- **Special resolution**: required before important constitutional changes; requires a **75% vote** in favour.

5.11.5 Proxy Votes

- Any member entitled to attend/vote may appoint another person (a **proxy**) to attend and vote on their behalf. A proxy can vote on a show of hands and in a poll; valid for the meeting and any adjournment.
- Two forms:
 1. **General proxy**: appoints someone to vote as they think fit, bearing in mind what is said at the meeting.
 2. **Special proxy ("two-way proxy")**: appoints someone to vote for or against a particular resolution.
- Each person entitled to vote must be sent a proxy form with the notice; the form must state the shareholder is entitled to appoint a proxy of their own choice. If returned with no voting indication, the proxy is deemed general. The chairman decides on the validity of proxies.

6 International Markets (1.6)

6.1 International Securities Markets

- Both retail and institutional investors invest overseas – potential diversification benefits where domestic/overseas returns are less than perfectly correlated.
- Emerging markets (e.g. Brazil, China) outperformed developed markets before 2008; since then, other emerging markets (e.g. Southeast Asia) have at times delivered significantly higher returns.
- **Foreign exchange (FX) risk:** changes in the value of the domestic currency versus the currency of the overseas market can increase or reduce actual returns.
- Retail investors typically gain international exposure via mutual funds/ETFs; institutional investors may buy securities directly in overseas markets – bringing additional considerations/risks given differing structure/regulation. Less of an issue within European equity markets given harmonisation via MiFID and the Prospectus Directive.

6.1.1 Comparative Market Structures

- Most European equity trading takes place on electronic order-matching systems.
- **NYSE** (largest equity market): floor-based specialist system; several trading posts, each stock traded at its assigned post. **Designated market makers (DMMs)** maintain an "orderly market" for specific/assigned stocks; member firms' floor and local brokers trade through DMMs. Primary order processing system: **Universal Trading Platform (UTP)** – provides current status of any equity order (similar in concept to SETS); member firms input orders directly to the trading post where the security is traded.

6.1.2 Emerging Market Risks

- Quality of market regulation, corporate governance, transparency, and accounting standards often below developed markets, increasing mispricing risk.
- More likely political risks (corruption, coups, civil wars – e.g. Ukraine and Syria cited as examples).
- Stock market returns more volatile; during strained global macroeconomic conditions, overseas investors abandon emerging market positions first, causing volatility; emerging market indices tend to rise faster in strong sentiment but fall faster when sentiment turns negative.
- Regulatory limits on overseas investments can change at short notice; emerging markets may be less liquid than developed stock markets.

6.2 Eurobond Markets

- **Eurobonds:** bonds denominated in a currency other than that of the country in which they are issued (e.g. a bond issued by a Russian corporation in London, denominated in USD). Usually fixed-rate, interest-bearing notes, although floating-rate/other variations exist. (Characteristics – Unit 2, Ch.12, Section 12.2.)
- **"Bearer bonds"** – not registered centrally; whoever holds/bears the bond is the owner, enabling anonymity. Difficult to determine the client base, but holders generally believed to include private individuals seeking to mitigate tax liability and institutional investors as part of diversified portfolios.

- Since the 1960s the market has grown dramatically – by some measures the largest capital market in the world. Issuers include industrial corporations, banks, public sector bodies, supranational organisations. Not regulated by the country of the currency of denomination.
- **Participants in issuing Eurobonds:**
 - **Issuer/borrower** – needs to raise funds, approaches a bank.
 - **Lead manager** – bank that may form a **managing group** with other banks to negotiate terms and manage the issue; sells bonds to an underwriter or directly to a selling group.
 - Managers, underwriters, sellers collectively form the **syndicate**.
 - **Underwriter** – purchases the bonds at a minimum price, assumes the risk of not being able to resell at a higher price; sells to a selling group that places bonds with investors.
- Syndicate companies and their investor clients form the **primary market** for Eurobonds. Once resold to general investors, bonds enter the **secondary market** – traded **OTC**, organised under the **International Capital Markets Association (ICMA)**. Major markets: London, Frankfurt, Zurich, Amsterdam.

6.3 Settlement in Overseas Securities Markets

- Settlement systems are national; each country has its own arrangements. Participation generally limited to locally regulated participants.
- Government/quasi-government bills, bonds, notes: traded OTC between banks, settled through central-bank-operated systems – may not provide a guarantee (not linked to a clearing company/CCP), though often linked for payment into real-time gross settlement systems where these exist.
- Corporate bonds: generally listed/traded through central clearing depository systems associated with the exchange; many central securities depositories are linked with international depositories.
- Some countries (e.g. South Korea) settle bond transactions on a rolling basis and **T+1**, using delivery-versus-payment without netting (gross trade-by-trade basis).
- **G30** (a consultative group on international economics) publishes good-practice recommendations, including **T+3 settlement for equities**.
- In some countries (e.g. Thailand), shares are registered in a central depository with a matching system for trading, ensuring transactions settle as agreed; settlement is **T+2**.
- **Local custodian**: responsible for safekeeping securities in a given national market. **Global custodian**: coordinates/supervises safekeeping across local depositories. Links between parties reduce error risk and are less developed in emerging vs mature markets.
- Non-electronic settlement systems still used in some markets; securities physically transferred between buyer and seller. Many emerging markets lack a central depository – ownership rights must be exchanged simultaneously with payment and cannot be reversed.

6.3.1 Eurobond Settlement

- Two systems available: **Euroclear** and **Clearstream**. Both provide:
 - Securities clearance and settlement services
 - Money transfer and banking services associated with securities settlement
 - Custody services

- Securities lending
 - Borrowing services
- **ICMA** rules currently specify settlement on **T+2**, but all trades should be confirmed on **T+1**. Once reported, a trade is validated then matched to await execution.
- Euroclear and Clearstream are electronically linked, allowing member organisations to use either system.

7 The Principal-Agent Problem: Separation of Ownership and Control (1.7)

7.1 The Principal-Agent Problem

- Stock markets allow ownership of a company to be separate from its control.
- Where ownership also manages the company, ownership and control are aligned. But where ownership is dispersed through share issuance, owners cannot control the company directly – they appoint **managers** to run it on their behalf.
- **Owners = principals; managers = agents.** Owners have discretion delegated to managers over the use of invested funds. Generally, managers do not own significant amounts of shares.
- This separation leads to the **principal-agent problem** (agency problem) – owners and managers generally have different interests:
 - Owners want to maximise firm value.
 - Managers want to maximise their own interests (salary, vanity projects, expenses) – it is unlikely managers' pursuit of self-interest maximises firm value.
- Managers may use discretion for **self-dealing** – diverting corporate wealth to themselves, e.g. **expropriation** (embezzling funds, transferring asset ownership to themselves/family). This form of agency cost is generally low in developed countries but remains a problem in developing countries with less-developed investor protection regulation.
- A more common form of agency cost in developed countries: allocation of owners' funds for managers' personal consumption or **perquisites** (e.g. bigger expense accounts, corporate jets).

7.2 Solutions to the Principal-Agent Problem

- **Aligning incentives:** compensating managers partly in shares (or future shares via stock options) – incentivises decisions that raise the share price, benefiting managers and owners alike.
- **Board monitoring:** owners appoint board members to look after their interests; the board can remove underperforming managers.
- **External pressure via share sales:** if managers run the company badly and enough shareholders sell shares, the price falls, potentially making the company a **takeover target**. The threat of takeover (often resulting in incumbent management losing their jobs) incentivises managers to look after shareholder interests.
- **Shareholder activism:** groups of shareholders (often large fund managers) voice concerns to directors – has become more prevalent in recent years.

Many of these solutions introduce costs – referred to as **agency costs** (e.g. the cost of granting share options to managers).

7.3 Agency Problem Elsewhere in the Investment Industry

- Occurs widely: e.g. an investor (principal) appoints a broker (agent) to obtain the best trade price, but the broker may pursue self-interest. E.g. **front-running**: on receiving a large client order to buy, the broker places their own order first to profit from the anticipated price rise.
- **Dual capacity:** where a firm operates as both broker and dealer, it exposes itself to the conflict-of-interest / principal-agent problem – as broker, the duty is to act in the client's best interest; as dealer, it acts in its own (or its owners') interest.

- In most situations investment professionals put client interests first, but not always – e.g. **Bernard Madoff**, who turned a wealth management scheme into a Ponzi scheme (cash from new investors used to pay "returns" to existing investors).
- When financial professionals pursue self-interest and harm clients, this can erode trust in the industry's products/processes – potentially reducing savers' willingness to lend, reducing funds available to borrowing companies, and slowing economic growth.
- Such unethical behaviour can be mitigated by regulation, or by raising ethical awareness and standards in the industry. (See Ch.2 on raising awareness/standards; Ch.3 on how regulation mitigates unethical behaviour.)

Key takeaway (1.7): The agency problem arises from separation of ownership (principals) and control (agents). Main agency costs: expropriation, perquisites, self-dealing, higher cost of capital. Main solutions: incentive alignment (shares/options), board monitoring, takeover threat, shareholder activism – all of which carry their own agency costs.

Chapter 1 – Consolidated Key Facts

- 1.1
 - Four financial-services functions: intermediation, risk pooling, payments/settlement, portfolio management.
 - Main institution types: central banks; deposit institutions (banks); investment institutions (insurers, collective funds, pension funds).
 - Four government functions: provide market-failure goods/services; regulate markets; redistribute income; maintain economic stability.
- 1.2
 - Real assets = physical (land, buildings, gold). Financial assets = claims to a return or to physical asset ownership.
 - Securities market functions: raising capital, transferring risk, price discovery, creating liquidity.
 - Primary market = initial sales; secondary market = subsequent trading.
 - Round-trip costs = bid-ask spread + commissions + taxes.
- 1.3
 - LSE: SETS (order-driven, FTSE 100/250/Small Cap) and SEAQ (quote-display, fixed-interest/AIM).
 - SETSxq = less liquid main-market stocks: periodic auction book + quote-driven market making.
 - Gilts = UK Government bonds; DMO (Treasury agency) manages issuance, typically via auction.
 - Corporate bonds: open offer for sale (bought deal / fixed-price re-offering) or private placement.
 - Dual listing: two corporations, single operating business, separate legal identities/listings.
 - OTC market = decentralised trading, not on an exchange.
 - CREST = LSE electronic settlement system: T+2 for equities, T+1 for gilts.
- 1.4
 - FCA = "competent authority" / UK listing authority, decides admission to the Official List.
 - Main market listing requires >£30m listed shares (or >£200,000 debt securities).
 - AIM regulated by the LSE; no minimum size/track-record/public-float criteria.
- 1.5
 - Directors, major shareholders, and concert parties must declare share interests.
 - UK corporate governance historically stresses internal controls and financial reporting/accountability over external legislation.
 - Listed companies must abide by continuing obligations – regular market disclosure.
 - AGM required within 6 months of financial year-end; interval between AGMs ≤ 15 months.
 - General meetings require ≥ 14 calendar days' written notice; can be communicated electronically.
 - Any member may appoint a proxy to attend/vote on their behalf.
- 1.6
 - Government bond trading overseas often OTC via local banks, settled via central bank systems; corporate bonds often listed/traded via central clearing depositories linked to local exchanges.

- Euroclear and Clearstream = two main Eurobond settlement systems; trades confirmed T+1, settled T+2.

1.7

- Separation of ownership and control leads to the principal-agent problem.
- Shareholders = principals; managers = agents.
- Other principal-agent relationships in the investment industry: fund advisers/managers acting as agents for investors.
- Solutions to the agency problem incur agency costs: (a) aligning manager/owner interests via share-based remuneration; (b) board oversight of shareholder interests; (c) external control via active shareholder groups or the threat of takeover.